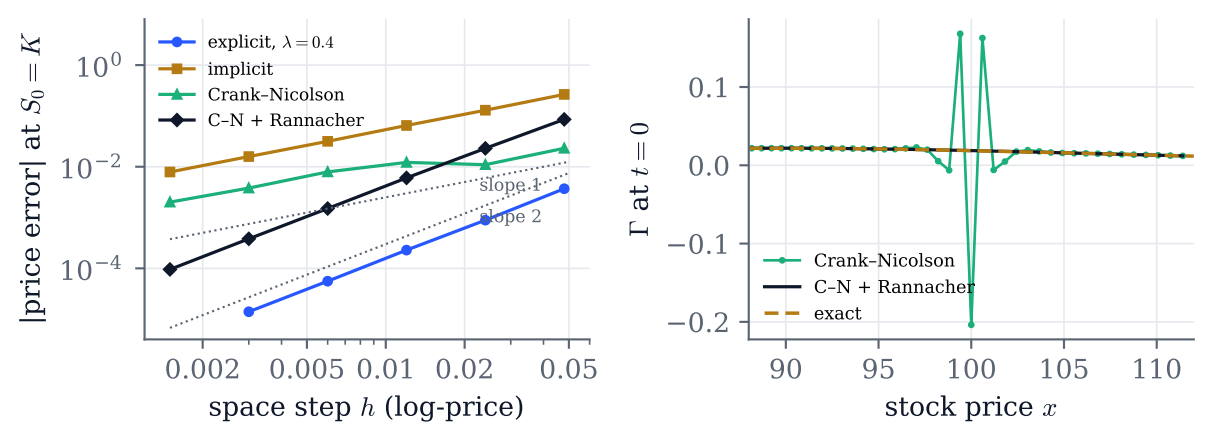
explicit, $\lambda = 0.4$
implicit
Crank–Nicolson
C–N + Rannacher
slope 1
slope 2
10^0
10^{-2}
10^{-4}
|price error| at $S_0 = K$
0.002
0.005
0.01
0.02
0.05
space step h (log-price)
0.1
0.0
−0.1
−0.2
Γ at $t = 0$
Crank–Nicolson
C–N + Rannacher
exact
90
95
100
105
110
stock price x